

SECTION 80C & RELATED

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The broadest category of deductions is Section 80C /80CCC/ 80CCD. These mainly relate to investments and certain special kinds of expenditures. In the corresponding image, it lists down the various investment avenues and expenses that are allowed by the section.

The three sections combined, offer an advantage of up to Rs.1.5 lac (1,50,000). So, if we invest up to the prescribed limit in any single or a combination of asset classes or spend it on the expenses mentioned like the education of up to 2 children, principal repayment on home loan etc. we can claim a deduction and our taxable income will go down by the amount that we have spent or invested in them. There is no qualification requirement for these sections and anyone who files an IT return in India can benefit from the same.

From a financial planning perspective, we will try to select assets that can allow us to meet our Financial Goals at the same time allow us to benefit from these deductions as well. However, if required, we will let go of these deductions in case they are contrary to our requirement of fulfilling the Financial Goals. We will understand these asset types in great detail in the next phase where we talk about all the different asset classes and their behavior.

